Article

State Finances in the Context of the Emerging Fiscal Federalism in India: Analysis of Past Experience in Fiscal Discipline and Consolidation

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Abstract

Implications of increased central transfers of resources to states would make state budgets more important in determining fiscal prudence of the Indian economy that has a multiparty federal democracy. The article examines the quality of fiscal marksmanship at the state level revealed by the recent evidence. It also considers various parameters of fiscal consolidation over the past 10 years in the 17 non-special category states. The panel regression exercise suggests that the likely impact of enhanced central transfers may have mixed effects on fiscal consolidation of states and hence the Indian economy.

Keywords

Fiscal federalism, fiscal consolidation, fiscal discipline, fiscal deficit, state finances, fiscal marksmanship, committed expenditures, Debt-GSDP ratio

Introduction

After the presentation of the Union Budget for the year 2015–2016 in the Parliament, the concerns about the fiscal consolidation and discipline in India have shifted from the fiscal discipline of the central government to the fiscal behavior of state governments. Although there is a marginal slippage in the time path of fiscal consolidation by the central government, a substantial increase in the transfer of resources unconditionally to states on the recommendation of the Fourteenth Finance Commission (14th FC) has made the state governments equally, if not more, responsible for the fiscal prudence in the country. The 14th FC, however, argues without unanimity among its members that its recommendation of increasing the share of states in total central taxes from 32 to 42 per cent would not effectively increase the total resource transfer from the center to the states because grants and other resource transfers would correspondingly decline. The note of dissent by one of the members of the commission contradicts their argument (14th FC, 2015).

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Budget documents of the Union Budget (MoF, 2015) also provide a clear estimate of the total resource transfers from the Central Government to states for the years 2013–2014 (actuals, AC), 2014–2015 (revised estimates, RE), and 2015–2016 (budget estimates, BE). It is clear from the statement given in the budget documents that states' share of taxes and duties would increase from ₹3.378 trillion in 2014–2015 (RE) to ₹5.240 trillion in 2015–2016 (BE), but total grants and loans would decline from ₹3.552 trillion in 2014–2015 (RE) to ₹3.283 trillion in 2015–2016. The net resource transfers from the center to states as a percentage of the gross domestic product (GDP) would, therefore, increase substantially from 5.4 in 2014–2015 to 6.0 in 2015–2016 (MoF, 2015). Thus, the 14th FC has not only increased the magnitude of resource transfers to states significantly but also changed their quality because now such enhanced resources would be untied or without any conditionality. Fiscal behavior of states will, therefore, play a very vital role in the fiscal consolidation efforts in the country.

Several scholars had argued that a democratic federal system should allow greater resources at the disposal and discretion of the state governments rather than attaching conditionality to such transfers (Bird & Smart, 2002; Koutsogeorgopulou & Tuske, 2015), though it is a general consensus that if the transfers are for specific purpose, the conditionality is justified (Bagchi, 2003; Bagchi & Chakraborty, 2004). In India, particularly the 13th FC has gone overboard with conditionality-attached transfers (Rao, 2010). Such conditional transfers are often inefficient and curbing autonomy of states because the neediest states often could not meet conditionality and hence the resources remained unutilized. The 14th FC has also endorsed such a view. However, the proponents of conditionality on transfers and lower magnitude of transfers to states as represented by several scholars associated with 11th to 13th FCs had apprehensions about providing greater freedom and discretion to states because of consequent likely fiscal profligacy. A study of state finances in the context of fiscal discipline and consolidation in the recent past would, therefore, be necessary to examine the likely impact of such a development. The present study makes an attempt in this context to examine state finances of the non-special category (NSC) states in India. The NSC states are big states accounting for 92 per cent of population and 89 per cent of GDP of the country.

The next section considers fiscal marksmanship in all the NSC states over the latest three years in terms of important fiscal aggregates, such as, revenue receipts, expenditures, and deficits. It would indicate how reliable and credible would be the budget-making exercise when states would handle a much larger budgetary resources. The third section then examines how efficiently the states have managed their fiscal consolidation in terms of fiscal parameters in recent past. The fourth section considers fiscal constraints on the state economies in terms of their committed expenditures. The fifth section examines using panel regressions how increased transfers from the center are likely to affect various fiscal aggregates. The final section summarizes the findings with concluding remarks.

Fiscal Marksmanship

Budget making in a normal year is a prolonged process involving five–six months starting almost by the end of October or the beginning of November each year and ending by April of the following year when the budget gets approval from the body of elected representatives. It involves a lot of hard work and certain degree of skills in collecting, collating, analyzing, and preparing estimates for the forthcoming year. Since it is the most comprehensive statement of the intended fiscal policy by the government at respective levels, it is of great interest to savers, investors, and business world. The credibility and reliability of the budget would, therefore, become extremely important if the announcement of the budget has to create the

desired impact. The credibility of the budget depends on how closely the budgeted numbers reflect the final realization when the year gets over.

In this context, state budgets in India have so far not been examined seriously to reflect the reliability of the budgeted numbers. Ideally, there should not be any significant variation or deviation in the BE, RE, and AC accounts. If the deviations are minimal, then the fiscal marksmanship is of high quality. The more is the extent of deviations, the lower is the quality of fiscal marksmanship. In the present context, when the state budgets would acquire similar, if not more, importance in the national fiscal prudence matters, it is relevant to examine the average degree of fiscal marksmanship in different state economies in recent years. Table 1 presents the average of percentages of deviations of RE from the BE, and of AC from the BE, for several fiscal aggregates in the past three years (2009–2010, 2010–2011, and 2011–2012) in all the NSC states.

Table 1. Average Marksmanship over Past Three Years (2009–2010 to 2011–2012) in Important Budget Aggregates (in per cent)

States (NSC)	Total Expenditures		Revenue Expenditure		Development Expenditures		Non-development Expenditure		Own Revenues		Fiscal Deficit	
	RE/BE	AC/BE	RE/BE	AC/BE	RE/BE	AC/BE	RE/BE	AC/BE	RE/BE	AC/BE	RE/BE	AC/BE
Andhra Pradesh	−2.9	−13.1	−0.8	−11.3	−2.3	−14.3	−3.5	−4.6	−3.0	−12.1	−1.8	−11.6
Bihar	7.2	−9.5	8.2	−7.2	8.3	−14.2	4.9	−4.9	1.1	0.8	120	8.2
Chhattisgarh	8.2	−4.2	10.7	−0.1	6.1	−9.6	−0.9	−1.6	4.7	5.7	3.2	−74.4
Goa	3.2	−7.1	1.4	−6.5	8.1	−3.4	−7.3	−15.0	6.1	8.8	−2.0	−39.5
Gujarat	3.7	3.2	4.5	4.4	6.8	6.0	−3.0	−2.9	5.8	9.8	−0.3	0.5
Haryana	6.1	−0.5	6.6	−3.5	4.5	−3.2	3.3	−0.3	1.7	−2.7	−2.4	−3.5
Jharkhand	4.6	−1.2	7.2	1.4	4.0	−3.0	4.6	2.6	−3.0	13.1	187	169
Karnataka	1.3	3.1	1.1	0.8	4.9	8.7	−7.5	−11.6	0.3	3.6	18.2	12.2
Kerala	0.6	0.3	0.5	0.6	0.0	−2.2	−0.2	2.8	0.6	−0.7	5.0	17.0
Madhya Pradesh	7.0	1.2	5.6	−0.3	25.2	19.0	−1.2	−6.5	15.4	18.2	1.5	−21.9
Maharashtra	4.3	−0.4	6.0	0.7	6.9	0.9	−1.0	−3.8	3.7	6.3	3.4	−12.1
Odisha	1.1	−9.0	1.4	−8.9	4.3	−4.8	−5.7	−18.3	10.2	19.4	−29.4	−87.1
Punjab	0.7	−10.3	1.1	−5.9	3.4	−16.6	−1.7	−0.5	3.3	−8.9	−11	−17.4
Rajasthan	4.8	−1.1	6.2	2.5	5.6	−0.4	2.6	−0.4	7.5	10.8	0.7	−27.9
Tamil Nadu	3.7	1.8	4.4	2.6	7.5	5.9	0.3	−0.1	4.7	4.9	5.2	1.6
Uttar Pradesh	2.9	−3.3	2.4	−2.8	3.7	−4.8	1.9	−1.1	9.1	4.6	0.6	−20.8
West Bengal	1.4	−4.8	4.0	−1.1	−1.4	−9.3	5.6	2.3	−5.5	−9.3	17.7	3.3

Source: RBI (Annual).

Notes: Each column is calculated as → (average of the respective ratio for three years − 1)*100

−ve sign indicates decline in the numerator from the denominator of the respective column and +ve sign shows increase in percentage of denominator on average of the three years.

The table reveals very interesting and disturbing features of the budget-making exercise and the competence and capabilities for the same at the state level. First thing to observe from the table is that the percentage deviations vary vastly from close to zero in certain aggregates in some states to very high numbers in certain other aggregates in some states. Similarly, out of the six fiscal aggregates considered in Table 1, fiscal deficit shows highest deviations and is the most volatile across states. What is surprising is that in the case of all the six fiscal aggregates, the difference in the percentage variation between RE –BE and AC–BE is substantial in almost all states. Ideally, the RE should be fairly close to the AC because they would capture the true picture of accounts for almost 10–10.5 months out of the year. However, a high difference between RE and AC in most categories in Table 1 indicates either the poor maintenance of accounts or poor skills and control mechanism at the state level.

The details in Table 1 reveals the adjustments made in the budget (BE) over time during the year in the most relevant fiscal aggregates in each of the NSC states. Out of the 17 NSC states during the three years (2009–2012), eight states experienced substantial increase (>5 per cent) and only Andhra Pradesh, Punjab, and West Bengal experienced a substantial decline in their own revenues over the BE, and it was not very well captured at the stage of RE in several of them. On the contrary, the total expenditures were cut in most of the states substantially if we consider the difference between RE and AC. In addition, the reduction in the revenue expenditures is much lower than that in the total expenditures, implying a significant cut in the capital outlay. In terms of the development expenditure (DE) and nondevelopment expenditure (NDE), a larger cut is made in the former than in the latter in all states except Goa, Gujarat, Karnataka, Madhya Pradesh (MP), Maharashtra, Odisha, and Tamil Nadu.

The fiscal deficit estimates have widely swung between BE, RE, and AC on an average in most of the NSC states. The lowest variation is observed in Gujarat, whereas in Bihar, Jharkhand, Karnataka, and Kerala it has increased considerably going off the BE. Such a poor degree of fiscal marksmanship exhibited or inability of the administration to control and monitor the fiscal behavior of the government in most of the major state economies of the country does not augur well for the Indian economy in which states have been assigned greater role in fiscal matters.

Fiscal Consolidation in States

Fiscal consolidation at the state level is considered in terms of own tax revenue (OTR) and total revenue receipts (TRR); various types of expenditures, such as, DE, NDE, and revenue (TRE) and capital outlay (CO); revenue surplus (RS) and fiscal surplus (FS); and debt or total liabilities (D) and state guarantees (SG), as proportion of the state income or gross state domestic product (GSDP). In this section, the fiscal consolidation in all NSC states is considered in terms of all these aggregates over the past 10 years.

Table 2 shows that OTR as a percentage of GSDP has increased from 2004–2005 to 2013–2014 in all NSC states except Haryana, Maharashtra, and Rajasthan, where it has come down. However, neither the increase nor the decrease has been substantial. Fiscal consolidation through raising OTR has not been progressing spectacularly in any state. The lowest OTR/GSDP ratio is obtained in Bihar and Jharkhand followed closely by West Bengal and is in the range of 4.5–5.5 per cent over the past 10 years. The highest ratio is observed in Karnataka followed closely by Tamil Nadu and is in the range of 8.5–10.5 per cent. The disparity among states in the efforts to raise own revenues through taxation is substantial. While Bihar is among the poorest states and Tamil Nadu is among the richest states, West Bengal and Karnataka are among the average income states in the country.

Table 2. State's Own Tax Revenues as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	7.67	8.01	8.63	7.89	7.82	7.38	7.73	8.04	7.94	8.45
Bihar	4.54	4.49	4.05	4.47	4.34	4.97	4.83	5.1	5.18	5.69
Chhattisgarh	7.41	7.95	7.8	7	6.8	7.17	7.54	8.06	8.48	8.7
Goa	7.46	8.26	8.47	6.95	6.61	6.71	6.37	7.02	9.24	9.71
Gujarat	6.85	6.92	7.03	6.65	6.4	6.2	6.97	6.98	7.65	7.75
Haryana	7.95	8.53	8.39	7.66	6.39	5.91	6.44	6.76	6.82	7.33
Jharkhand	4.68	5.26	5.04	4.14	4.27	4.47	4.49	4.83	4.96	5.37
Karnataka	10.29	10.14	11.32	9.6	8.91	9.06	9.37	10.13	10.25	10.52
Kerala	8.13	7.79	8.24	7.8	7.89	7.6	8.24	8.35	9.2	8.77
Madhya Pradesh	7.28	7.75	7.87	7.44	6.9	7.59	8.13	8.65	8.22	7.4
Maharashtra	7.92	7.64	8.91	6.94	6.9	6.91	7.25	7.31	6.8	6.76
Odisha	5.83	6.38	6.38	5.3	5.38	5.51	5.67	6.26	5.89	6.1
Punjab	7.18	8.27	7.44	6.5	6.41	6.1	7.44	7.35	7.88	8.94
Rajasthan	7.18	7.68	7.57	6.81	6.47	6.17	6.14	6.29	6.64	6.63
Tamil Nadu	9.56	9.93	10.03	8.44	8.39	7.62	8.17	8.95	9.6	10.12
Uttar Pradesh	6.31	6.81	7.36	6.52	6.44	6.47	6.89	7.75	7.86	8.14
West Bengal	4.74	4.53	4.16	4.38	4.22	4.24	4.58	4.63	5.29	5.62

Sources: RBI (Annual); CSO (2014).

Hardly any observable increasing trend exists in TRR as percentage of GSDP in the NSC states (Table 3) except Chhattisgarh, Jharkhand, Goa, Uttar Pradesh (UP), and West Bengal. In all these five states except Goa the increasing trend in the TRR/GSDP ratio is due to increased transfers from the center rather than own taxes. Thus, fiscal consolidation in this regard is driven by the transfers from the center than through OTR effort. The states showing largest TRR/GSDP ratio currently are Bihar, Chhattisgarh, Goa, Jharkhand, MP, Odisha, and Uttar Pradesh. Except Goa, all of them belong to the category of the poorest states in the country. As decided now, when more resources will be transferred to the states, it remains to be seen whether it would lead to more fiscal consolidation or profligacy.

Table 3. Total Revenue Receipts as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	13.57	14.54	15.96	14.84	14.73	13.56	13.87	14.12	13.76	14.9
Bihar	21.34	22.47	23.18	24.82	23.18	21.81	21.8	20.75	18.97	21.74
Chhattisgarh	16.63	17.33	17.7	17.29	16.15	18.27	19.02	19.47	19.25	21.28
Goa	15.85	16.35	14.05	11.83	10.71	11.33	16.19	16.79	20.13	18.59
Gujarat	10.72	12.53	11.8	10.73	10.4	9.31	10.04	10.48	11.33	11.04
Haryana	11.92	13.02	13.78	13.03	10.11	9.39	9.81	10.12	9.74	11.14
Jharkhand	12.98	15.42	15.83	14.33	15.04	15.03	14.76	15.58	15.02	17.76
Karnataka	16.75	16.51	18.27	15.21	13.95	14.56	14.17	15.21	14.9	16.5

(Table 3 continued)

(Table 3 continued)

Kerala	12.24	12.18	12.54	12.05	12.09	11.25	11.75	12.34	13.78	12.33
Madhya Pradesh	18.48	17.52	19.31	19	17.02	18.19	19.69	20.09	18.92	17.65
Maharashtra	10.62	11.04	12.02	11.62	10.78	10.16	10.23	10.11	9.96	9.83
Odisha	16.53	17.95	15.65	16.99	16.57	16.22	16.85	18.77	17.2	17.79
Punjab	14.28	15.89	16.97	12.64	11.9	11.22	12.21	10.23	11.18	13.37
Rajasthan	15.15	16.2	16.69	15.8	14.49	13.31	13.57	14.13	14.57	15.03
Tamil Nadu	14.06	14.46	14.77	13.55	13.71	11.64	12	12.81	13.51	13.95
Uttar Pradesh	15.12	16.32	19.38	17.93	17.5	18.42	18.53	19.27	20.38	20.05
West Bengal	9.51	10.35	9.76	10.07	10.79	9.26	10.25	10.92	11.01	12.49

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

In this context, it is interesting to examine the revenue expenditures as percentage of GSDP in different NSC states (Table 4). Fiscal consolidation would require to control and reduce the revenue expenditures in relation to the state income. However, such a tendency is seen only in Gujarat, Maharashtra, Punjab, and Rajasthan. In the rest of the states, the TRE/GSDP ratio shows increasing trend, perhaps because the TRR/GSDP ratio is increasing largely due to transfers from the center. It is interesting to examine what the states have done for their CO.

Table 4. Revenue Expenditures as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	13.93	13.64	13.77	14.80	14.49	13.31	13.45	13.65	14.29	14.83
Bihar	18.82	21.53	20.43	20.73	20.04	20.00	18.77	19.11	22.78	21.35
Chhattisgarh	14.84	13.97	13.16	13.51	14.22	17.38	16.21	15.67	18.45	18.92
Goa	15.29	15.29	14.94	14.20	13.48	14.51	14.24	12.67	16.24	18.06
Gujarat	11.95	10.41	10.30	10.19	10.53	11.28	11.01	10.05	10.73	10.48
Haryana	11.91	11.61	12.71	11.56	11.25	11.30	10.86	10.71	12.07	12.04
Jharkhand	14.09	16.02	16.78	15.60	17.63	17.12	15.90	15.48	18.55	17.62
Karnataka	14.95	14.31	14.71	13.81	13.42	14.08	13.16	14.30	16.17	16.71
Kerala	14.40	13.46	13.54	14.21	13.92	13.42	13.14	14.95	14.79	15.22
Madhya Pradesh	15.96	16.55	15.47	15.85	14.96	15.77	17.09	16.91	17.55	16.50
Maharashtra	12.29	10.74	10.50	9.46	10.04	11.09	10.15	10.51	10.92	10.55
Odisha	15.92	15.99	15.49	13.71	14.27	15.52	14.87	16.15	16.70	17.13
Punjab	17.76	16.76	14.59	15.15	14.12	13.88	14.54	12.89	15.44	14.01
Rajasthan	15.58	15.12	14.59	14.95	14.85	15.10	13.26	13.30	14.75	14.83
Tamil Nadu	13.31	12.41	12.32	12.25	13.35	12.38	12.47	12.57	13.60	13.80
Uttar Pradesh	17.10	15.90	16.56	17.03	17.08	17.08	17.94	18.08	19.32	18.86
West Bengal	13.49	13.51	13.05	12.79	15.09	14.67	14.00	13.88	13.93	13.13

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

The performance of states on their CO as percentage of GSDP is mixed (Table 5). Several states, such as, Andhra Pradesh, Haryana, Jharkhand, Karnataka, Rajasthan, and West Bengal, have experienced a fluctuating CO/GSDP ratio over the period with no clear trend. However, Bihar, Chhattisgarh, Goa, Gujarat, Kerala, Odisha, Punjab, Tamil Nadu, and UP have an increasing trend in the ratio, which is good for the quality of fiscal consolidation. On the contrary, MP and Maharashtra have experienced declining ratio of CO/GSDP. Thus, Gujarat and Punjab have effectively substituted revenue expenditures by COs.

Total government expenditures as percentage of GSDP shows increase over the 10 years in several states, such, as Andhra Pradesh, Chhattisgarh, Goa, Haryana, Karnataka, Kerala, Odisha, and UP (Table 6). Only in Gujarat, MP, Maharashtra, Punjab, and Rajasthan the ratio shows a declining trend consistent with the fiscal consolidation. It is important to see what has happened to the DE and NDE because the states can cut total expenditures for fiscal consolidation by cutting any of these two categories of expenditures. However, fiscal prudence occurs when they cut the NDE maintaining the DE.

Table 5. Capital Outlay as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	2.41	2.99	3.29	3.50	2.43	2.89	1.91	2.07	2.48	2.49
Bihar	1.55	2.53	5.17	5.37	4.52	4.50	4.52	3.64	4.81	4.14
Chhattisgarh	2.67	2.79	3.29	3.90	3.03	2.76	2.47	2.81	3.85	3.91
Goa	3.35	4.05	3.79	3.52	3.53	3.73	3.63	2.74	4.12	4.85
Gujarat	2.02	2.84	2.77	2.07	2.78	1.87	1.86	2.32	3.19	3.15
Haryana	0.94	1.48	1.89	2.26	2.47	2.33	1.55	1.80	1.38	1.50
Jharkhand	3.37	3.65	4.11	4.46	4.45	3.73	3.36	2.33	4.42	3.74
Karnataka	2.80	2.97	3.76	3.20	3.18	3.60	3.25	3.41	3.32	3.02
Kerala	0.57	0.60	0.59	0.84	0.84	0.89	1.28	1.25	1.98	2.18
Madhya Pradesh	4.38	5.33	3.58	4.23	3.40	3.48	3.34	2.91	2.98	2.46
Maharashtra	1.90	2.07	1.73	1.68	2.50	2.04	1.71	1.52	1.44	1.62
Odisha	1.36	1.22	1.43	2.20	2.55	2.24	2.17	2.10	2.25	2.72
Punjab	0.70	1.40	2.03	1.44	1.64	1.10	1.05	0.62	1.59	2.30
Rajasthan	2.73	3.02	2.81	3.36	2.55	1.95	1.55	1.76	2.55	2.74
Tamil Nadu	2.08	1.57	1.92	2.13	2.27	1.68	2.13	2.45	2.57	2.63
Uttar Pradesh	2.17	2.97	4.16	4.43	5.03	4.79	3.38	3.15	3.34	3.68
West Bengal	0.88	0.72	0.77	0.90	1.08	0.75	0.48	0.52	1.05	1.33

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Table 6. Total Government Expenditures (development + nondevelopment) as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	16.95	16.84	17.28	19.03	17.65	16.52	15.90	16.44	17.33	17.83
Bihar	21.81	26.17	25.92	26.33	24.95	24.98	21.57	23.54	28.32	25.90
Chhattisgarh	17.22	16.76	16.89	17.35	17.23	20.57	18.56	18.89	23.03	23.40
Goa	18.70	19.39	18.77	17.84	17.12	18.37	17.91	15.44	20.40	22.97
Gujarat	14.26	13.49	13.15	12.34	13.36	13.22	12.97	12.44	14.04	13.73
Haryana	12.97	13.02	14.53	13.79	13.78	13.97	12.66	12.69	13.60	13.78
Jharkhand	18.36	21.56	23.02	21.25	22.59	21.50	19.61	17.96	23.46	21.84
Karnataka	17.64	16.85	17.91	16.57	16.08	17.24	16.11	17.15	18.37	18.83
Kerala	15.13	14.27	13.11	14.37	14.12	13.61	13.66	15.43	15.91	16.37
Madhya Pradesh	22.47	21.65	18.80	19.83	18.41	19.81	20.73	23.84	20.97	19.39
Maharashtra	14.64	13.41	12.45	11.18	12.55	13.10	11.84	12.02	12.36	12.15
Odisha	17.34	17.11	16.91	15.97	16.69	17.58	16.97	18.23	18.79	19.62
Punjab	18.49	17.84	16.71	16.38	15.61	14.76	15.34	13.29	16.84	16.21
Rajasthan	18.81	18.44	17.58	18.46	17.54	17.23	14.88	15.27	17.74	17.53
Tamil Nadu	15.00	13.60	14.18	13.93	15.34	13.81	13.98	14.71	15.62	15.33
Uttar Pradesh	18.83	18.31	20.17	20.72	21.50	21.41	20.75	20.60	22.01	21.66
West Bengal	14.89	14.60	14.19	13.90	16.27	15.51	14.48	14.39	15.11	14.48

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Table 7 presents the DE as percentage of GSDP for the past 10 years in each of the NSC states. All the states except Gujarat, MP, and Maharashtra show increasing trend in the ratio over time and more so in the recent years. In Bihar, Chhattisgarh, and Goa, the increase in the DE has been substantial. As Table 8 reveals, such a relative increase in the DE in Bihar and Chhattisgarh is partly financed by relatively reducing the NDE. In fact, in all states, except Goa and Jharkhand, the NDE/GSDP ratio has a clear declining trend over the past decade. This augurs well for the fiscal consolidation at the state level.

Table 7. Development Expenditures as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	11.05	11.55	12.06	14.02	13.23	12.00	11.29	11.89	12.79	13.04
Bihar	11.69	15.74	17.18	17.99	17.40	17.32	13.86	15.99	20.14	18.05
Chhattisgarh	11.95	12.61	12.83	13.43	13.41	16.11	14.13	14.77	18.62	19.17
Goa	13.15	13.53	13.51	13.00	12.26	13.01	12.86	11.19	15.09	17.03
Gujarat	9.24	8.81	8.84	8.17	9.69	9.24	9.11	8.72	10.14	9.57
Haryana	7.75	8.67	10.63	10.17	10.31	10.37	8.96	9.14	9.85	9.87
Jharkhand	13.33	15.94	17.63	15.27	16.00	14.88	14.00	12.06	17.52	15.99
Karnataka	11.59	11.60	13.18	12.43	11.97	13.31	12.57	13.38	14.16	14.31

(Table 7 continued)

(Table 7 continued)

Kerala	8.40	7.82	6.76	7.37	7.85	7.57	7.76	8.78	9.78	10.26
Madhya Pradesh	15.72	15.44	12.80	13.99	13.19	14.48	15.10	18.58	15.86	14.37
Maharashtra	9.20	8.92	8.08	7.60	8.93	9.27	8.19	8.30	8.56	8.26
Odisha	8.83	8.99	9.36	10.19	11.83	11.76	11.82	12.94	12.80	13.20
Punjab	8.25	8.07	8.49	7.80	7.43	6.83	7.02	6.65	10.06	9.74
Rajasthan	11.98	12.16	11.42	12.34	12.00	11.56	9.89	10.58	13.09	12.93
Tamil Nadu	9.31	8.55	9.28	9.25	10.64	9.46	9.41	10.32	11.11	10.33
Uttar Pradesh	10.00	11.07	12.75	13.64	14.61	13.53	12.58	12.71	13.82	13.77
West Bengal	7.35	7.49	7.31	7.58	10.16	8.86	8.24	8.26	9.35	9.02

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Table 8. Nondevelopment Expenditures as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	5.90	5.30	5.22	5.01	4.42	4.52	4.61	4.55	4.54	4.79
Bihar	10.12	10.42	8.74	8.34	7.55	7.66	7.71	7.54	8.18	7.85
Chhattisgarh	5.27	4.15	4.06	3.92	3.82	4.46	4.44	4.12	4.41	4.24
Goa	5.55	5.86	5.27	4.84	4.86	5.36	5.06	4.25	5.31	5.94
Gujarat	5.02	4.68	4.31	4.17	3.67	3.98	3.86	3.72	3.90	4.16
Haryana	5.21	4.36	3.90	3.62	3.47	3.60	3.70	3.54	3.75	3.90
Jharkhand	5.03	5.62	5.39	5.98	6.59	6.62	5.61	5.90	5.94	5.85
Karnataka	6.06	5.24	4.73	4.14	4.11	3.93	3.54	3.77	4.21	4.52
Kerala	6.73	6.45	6.35	6.99	6.28	6.04	5.89	6.65	6.13	6.11
Madhya Pradesh	6.74	6.21	6.00	5.84	5.21	5.33	5.63	5.26	5.10	5.02
Maharashtra	5.44	4.49	4.37	3.58	3.62	3.84	3.65	3.72	3.80	3.89
Odisha	8.51	8.12	7.55	5.78	4.86	5.81	5.15	5.29	5.99	6.42
Punjab	10.24	9.78	8.22	8.57	8.18	7.94	8.32	6.64	6.78	6.47
Rajasthan	6.84	6.28	6.16	6.11	5.54	5.67	4.99	4.69	4.65	4.60
Tamil Nadu	5.68	5.05	4.90	4.68	4.69	4.35	4.57	4.39	4.51	5.00
Uttar Pradesh	8.82	7.24	7.42	7.08	6.89	7.88	8.17	7.89	8.19	7.89
West Bengal	7.54	7.11	6.87	6.32	6.12	6.65	6.25	6.13	5.76	5.45

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

The crux of the fiscal consolidation in the present context is to achieve balance on the revenue account and to contain the fiscal deficit to a maximum limit of 3 per cent of the GSDP. Moreover, the total liabilities of the state should also be restricted to less than 25 per cent of the GSDP. All the states in India by now have passed their fiscal responsibility legislations (FRL) explicitly committing their governments to such specific fiscal targets. Since GSDP is measured only at the factor cost at the state level instead of at market prices, it is understated by about 10 per cent and hence the target FD/GSDP ratio of 3 per cent amounts to aggregate 2.7 per cent of GDP at market prices and similarly for D/GSDP ratio of 25 per cent would imply aggregate 22.5 per cent of GDP.

Table 9 reveals that 9 out of the 17 NSC states show RS with 5 of them showing the surplus in excess of 1 per cent of GSDP in 2013–2014. Bihar, Chhattisgarh, and UP have been showing such high RS largely because of the transfers from the center. MP and Odisha were also showing a significant surplus until last year. In short, most of the states receiving relatively high degree of central transfers showed good RS. Gujarat and Haryana stand out as rich states showing substantial RS indicating fiscal consolidation. However, Jharkhand, Kerala, Punjab, and West Bengal show a relatively high degree of revenue deficits. In all these revenue deficit states, there is a clear trend for improvement in recent years.

Overall FS in all states for all years, except a few years in Chhattisgarh and Odisha, has been negative, indicating fiscal deficit throughout (Table 10). All states, except Goa, have achieved the fiscal consolidation target of 3 per cent of GSDP by 2013–2014 (BE). However, as discussed earlier, the BE very often go quite off the mark. States not meeting the fiscal deficit target of 3 per cent of GSDP in 2011–2012 and 2012–2013 (RE) are Goa, Kerala, Punjab, and West Bengal, though all of them are making efforts to reduce their fiscal deficit in recent years. Additional transfers of resources from the center can help them in their efforts to achieve fiscal consolidation.

Total liabilities or debt of the state government as a percentage of its GSDP is a comprehensive measure of the fiscal health and sustainability. As the Table 11 shows, among all NSC states in India without exception the D/GSDP ratio has been sharply declining over the past 10 years. Compared to the norm of maximum D/GSDP ratio of 25 per cent, around 2004–2005, almost all states had a higher and some of them had considerably higher D/GSDP ratio. To the credit of the states, all states made significant efforts to bring down this ratio considerably over the past 10 years. In spite of this effort, Goa, Kerala, Punjab, UP, and West Bengal are still not near the norm of 25 per cent of D/GSDP in 2013–2014 (BE). These states need to make more efforts to achieve the target.

Table 9. Revenue Surplus as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	−1.21	−0.03	1.01	0.04	0.24	0.26	0.42	0.47	0.15	0.12
Bihar	1.46	0.1	2.51	4.09	3.14	1.81	3.09	1.95	1.62	1.85
Chhattisgarh	0.33	2.71	4.1	3.79	1.93	0.89	2.82	2.44	1.7	1.38
Goa	−1.07	−0.17	0.93	0.36	0.4	−0.44	1.96	−0.33	−0.23	−0.19
Gujarat	−2.13	−0.18	0.67	0.86	0.22	−1.65	−0.97	0.32	0.54	1.04
Haryana	−0.28	1.14	1.22	−1.47	1.14	1.91	1.05	0.48	1.24	1.18
Jharkhand	−2.16	−2.83	1.5	−1.42	−0.37	−0.01	−0.66	0.99	−0.83	−1.67
Karnataka	1.05	1.26	2.02	−1.4	−0.53	−0.48	−1.02	−1.02	−0.36	−0.1
Kerala	−3.33	−2.49	−1.82	−2.16	−1.83	−2.17	−1.39	−2.61	−0.99	−0.65
Madhya Pradesh	1.61	0.03	2.5	3.15	2.06	2.42	2.6	3.18	2	−1.16
Maharashtra	−2.6	−0.88	0.16	2.16	0.74	−0.94	−0.06	−0.19	0.01	0.1
Odisha	−0.73	0.61	2.38	3.28	2.53	0.7	1.98	2.61	2.23	0.66
Punjab	−3.51	−1.14	1.44	−2.51	−2.22	−2.66	−2.34	−2.66	−2.58	−0.55
Rajasthan	−1.83	−0.51	0.42	0.85	−0.36	−1.79	0.31	0.83	0.75	0.2
Tamil Nadu	−0.35	0.83	0.96	1.3	0.36	−0.74	−0.47	0.21	0.32	0.14
Uttar Pradesh	−2.81	−0.46	1.57	0.9	0.42	1.35	0.58	1.03	0.72	1.11
West Bengal	−3.93	−3.22	−3.15	−2.72	−4.3	−5.41	−3.75	−2.71	−2.23	−0.49

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Table 10. Fiscal Surplus as Percentage of GSDP (in per cent)

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	−3.87	−3.46	−2.03	−2.41	−2.91	−2.94	−2.02	−2.32	−2.32	−2.86
Bihar	−1.69	−4.66	−3.03	−1.5	−1.76	−3.24	−1.94	−2.39	−2.08	−2.38
Chhattisgarh	−2.83	−0.83	0.06	0.43	−1.06	−1.77	0.34	−0.6	−1.73	−2.92
Goa	−4.8	−4.55	−3.18	−3.13	−3.6	−4.26	−1.7	−5.08	−5.78	−4.25
Gujarat	−4.6	−2.76	−2.15	−1.24	−2.6	−3.55	−2.89	−2.15	−2.66	−1.37
Haryana	−1.29	−0.27	0.91	−0.83	−3.59	−4.51	−2.78	−2.37	−2.95	−2.43
Jharkhand	−7.11	−8.96	−0.79	−2.31	−3.56	−2.99	−1.66	−1.39	−2.13	−2.16
Karnataka	−2.3	−2.01	−2.28	−1.97	−2.81	−3.22	−2.6	−2.68	−2.77	−2.94
Kerala	−4.04	−3.33	−2.64	−3.48	−3.13	−3.39	−2.93	−4.17	−3.07	−0.7
Madhya Pradesh	−6.08	−3.89	−2.11	−1.72	−2.25	−2.72	−2	−1.88	−2.53	−2.71
Maharashtra	−4.82	−4.02	−2.23	0.41	−1.86	−3.06	−1.82	−1.7	−1.68	−1.14
Odisha	−1.91	−0.35	−1.08	1.02	0.01	−1.38	−0.33	0.29	0	−0.32
Punjab	−4.18	−2.44	−3.62	−3.02	−3.84	−3.12	−3.16	−3.31	−3.26	−2.9
Rajasthan	−5.24	−4	−2.59	−1.75	−3.02	−3.87	−1.22	−0.9	−1.86	−2.53
Tamil Nadu	−2.75	−0.96	−1.43	−1.05	−2.13	−2.46	−2.85	−2.6	−2.66	−1.66
Uttar Pradesh	−5.22	−3.64	−3.08	−3.6	−4.61	−3.57	−2.87	−2.27	−2.76	−2.7
West Bengal	−5.09	−4.19	−3.82	−3.81	−3.97	−6.26	−4.24	−3.29	−3.09	−1.9

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Table 11. Total Liabilities as Percentage of GSDP

States (NSC)	2004–2005	2005–2006	2006–2007	2007–2008	2008–2009	2009–2010	2010–2011	2011–2012	2012–2013 (RE)	2013–2014 (BE)
Andhra Pradesh	33.56	32.54	30.05	27.38	25.79	25.94	23.90	22.72	22.43	22.70
Bihar	55.51	57.33	49.49	46.45	39.20	36.53	31.23	27.94	25.88	24.94
Chhattisgarh	25.34	24.71	20.99	18.25	15.50	16.35	14.27	12.43	12.25	13.56
Goa	34.77	35.81	35.34	33.94	28.13	28.94	28.45	23.00	26.27	29.58
Gujarat	35.07	33.92	32.06	30.47	29.86	28.63	27.42	25.45	24.50	23.94
Haryana	25.99	24.78	22.77	19.73	18.35	18.35	17.77	18.97	19.23	19.62
Jharkhand	21.91	27.78	28.46	25.42	27.36	26.81	22.23	23.12	22.59	22.53
Karnataka	26.60	25.31	25.56	22.38	21.02	25.04	22.75	23.31	20.78	21.70
Kerala	36.63	34.99	34.02	33.40	33.05	32.52	31.83	30.80	30.55	30.21
Madhya Pradesh	39.49	39.95	36.47	34.00	30.57	29.85	28.68	25.98	23.24	21.83
Maharashtra	29.98	30.04	27.50	23.66	24.76	23.77	21.98	20.91	20.40	19.92
Odisha	47.58	47.85	42.16	33.25	29.56	28.06	23.81	22.30	18.74	18.47
Punjab	48.61	47.07	40.13	36.64	35.35	34.32	33.06	32.32	32.62	32.33
Rajasthan	46.94	46.57	41.61	39.61	36.48	34.52	29.40	26.43	25.25	25.09
Tamil Nadu	25.56	24.76	22.08	21.06	21.47	21.20	19.57	19.58	20.22	20.40
Uttar Pradesh	52.24	52.55	49.89	46.93	43.35	39.44	38.30	35.66	33.13	32.03
West Bengal	46.65	49.69	47.44	45.55	43.99	44.01	41.85	40.43	38.04	36.33

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Fiscal Constraints

State governments face some pressing constraints in budget making in that they have to provide budgetary resources to meet those obligations. The desired expenditure priorities of the government can come only after these committed expenditures are met. Any state has to provide for the following pre-committed expenditures: (a) gross interest payments, (b) wages and salaries, (c) pensions, (d) operations and maintenance (O&M) expenditures, and (e) administrative services. For most of the states, these details are available in their budget documents, but for Goa data on wages and salaries and operations and maintenance are not available in public domain. Similarly, for Punjab, Bihar, and Jharkhand also these data are not available for years between 2004–2005 and 2010–2011. Concerns about maintaining proper accounts with transparency are valid in case of several states in India. Some scholars justify imposing conditionality for transfers from higher levels of government only on this count (Bagchi & Chakraborty, 2004). With the fiscal responsibility legislation passed now in all states, it is surprising why such data are not available in some of the states.

Table 12 shows that gross interest payment as percentage of GSDP in all the NSC states substantially less than at the Central Government level of around 3 per cent. The lowest interest burden is for Chhattisgarh followed by Karnataka and Tamil Nadu, whereas the highest burden is borne by West Bengal and Punjab. This could be because of their D/GSDP ratios and overall fiscal condition. In terms of the wages and salary cost, Gujarat is the lowest followed by Karnataka and Haryana, and Jharkhand followed by Chhattisgarh and Bihar are the highest. In pension cost, however, Maharashtra has the lowest cost followed by Gujarat and Bihar has the highest cost followed by Kerala. Generally, the pension costs are one-third to half of the salary costs. The O&M and administrative services are relatively minor heads of committed expenditures except in Jharkhand and the poorer states, such as, Bihar, MP, UP, and Odisha.

Table 12. Average of Three Years (2011–2014) for Committed Expenditures as Percentage of GSDP (in per cent)

States (NSC)	Gross Interest	Salaries	Pensions	O&M	Administrative Services	Total
Andhra Pradesh	1.63	4.21	1.65	1.43	0.92	9.84
Bihar	1.75	5.24	3.30	1.23	1.73	13.24
Chhattisgarh	0.76	5.35	1.33	0.50	1.43	9.37
Goa	1.79	NA	1.11	NA	1.06	3.96*
Gujarat	1.81	2.77	0.99	0.10	0.55	6.21
Haryana	1.50	3.27	1.03	0.46	0.74	7.01
Jharkhand	1.57	6.13	1.64	7.86	2.10	19.31
Karnataka	1.37	3.14	1.37	0.37	0.94	7.18
Kerala	2.00	5.06	2.54	0.24	0.87	10.72
Madhya Pradesh	1.58	5.03	1.43	0.35	1.23	9.63
Maharashtra	1.46	4.06	0.87	0.59	1.00	7.98
Odisha	2.27	4.91	1.57	1.23	1.37	11.35
Punjab	2.43	5.02	1.96	NA	1.66	11.08**
Rajasthan	1.87	4.11	1.51	0.72	0.78	8.99
Tamil Nadu	1.41	4.00	1.89	1.05	0.80	9.15
Uttar Pradesh	2.09	3.96	2.27	0.57	1.62	10.52
West Bengal	2.90	4.92	1.64	0.24	0.89	10.59

Sources: State Finances by RBI, and Data Book for Planning Commission by CSO.

Notes: *Excludes salary and O&M costs; ** Excludes O&M costs.

The total of all such committed expenditures among the NSC states as percentage of GSDP varies from 6.2 per cent in Gujarat to 19.3 per cent in Jharkhand. If Jharkhand is taken as an outlier because of its exceptionally high O&M expenditures, then Bihar, Odisha, and Punjab become the states with very high degree of committed expenditures in relation to their GSDP. However, compared to their total government expenditures, their committed expenditures are not exceeding 55 per cent except for Punjab. Role of efficient governance, smart use of technology, and increased answerability of the government employees can definitely help to generate extra fiscal space by relatively reducing such committed expenditures. States have to learn a lot from the best practices in this regard from various other states.

Likely Impact of Increased Transfers

In order to speculate about likely impact of the 14th FC's recommendation accepted wholeheartedly by the Central Government to transfer additional resources to the extent of about 1 per cent of GDP to the states without any conditionality attached, recent fiscal behavior of state governments can be used for prediction. It would be inappropriate to use a very long time series data on fiscal aggregates of states because the fiscal behavior of states varied considerably in the past in absence of efforts by the center to discipline the states. However, effectively since 2004–2005, the center has tried to persuade or force the states to become fiscally more disciplined and prudent. As a result, all states have adopted FRL and majority of them have made efforts to improve revenue account and fiscal balance, reduce D/GSDP ratio, control committed expenditures, increase CO/GSDP ratio, improve the balance between DE and NDE and increase OTR/GSDP ratio, and create reserve funds to tackle contingent liabilities. If we assume, as the 14th FC has done, that such a trend will continue in near future too, the panel data presented above in Tables 2–10 can throw some useful light in speculating the likely impact of increased transfers by the center on the state public finance.

In order to examine the impact, it is relevant to understand that the revenue receipts of a state government are made up of two components: OTR and nontax revenue and transfers (NTRT) from the center. By subtracting figures of Table 2 from the corresponding figures of Table 3, we can generate NTRT as percentage of GSDP for all years and states. The enhanced transfers from the center will directly increase NTRT/GSDP of all states. We have to, therefore, consider NTRT/GSDP as the independent variable and correlate other fiscal aggregates taken as percentages of GSDP with it to estimate the likely impact.

As a simple exercise, we correlate: (a) TRE/GSDP, (b) CO/GSDP, (c) TE/GSDP, (d) DE/GSDP, (e) NDE/GSDP, (f) OTR/GSDP, (g) RS/GSDP, and (h) FS/GSDP individually with NTRT/GSDP using the panel data of 17 NSC states for 10 years from 2004–2005 to 2013–2014. The first five of these eight dependent variables are government expenditures of different types. It is postulated that increase in the untied central transfers would induce the state government to increase these expenditures as percentage of GSDP, because the states would then have more obligations and responsibilities in terms of DE and capital expenditures to discharge. Moreover, out of the excess of the transfers after meeting those additional expenditure obligations, they would like to address their own expenditure priorities not only in terms of other DE and capital expenditures but also on NDE. Therefore, with respect to all the five expenditure variables, we expect a significant direct (positive) causal relationship from NTRT/GSDP to the individual expenditures as ratios of GSDP. If the fiscal behavior of states is highly disciplined and fiscal consolidation concerns are paramount, we should find either negative or statistically insignificant causal relationship of NDE/GSDP, TRE/GSDP, and TE/GSDP with NTRT/GSDP.

The causal relationship between central transfers and OTRs in a state could be either positive or negative. If more transfers to the state are perceived as greater fiscal autonomy and discretion given to the elected state government by the tax payers, they can lead to increased tax compliance and to a rise in OTR/GSDP. However, if more transfers are seen as a relief by the state government, it may reduce the tax burden on people leading to a fall in OTR/GSDP. Similar logic would apply to the ratio of RS to GSDP and FS to GSDP. Ideally, this type of relationships should be examined for each state separately by considering its behavior over time. However, as we have discussed, consideration of a long time period is not relevant for the present question. A period of 10 years is too short for reliable estimates. As a result, we consider a panel of 17 states and 10 years for each state to get an idea about average behavior.

We have run eight panel regressions—one for each of the dependent variable discussed above. As usual, we have estimated both the fixed effect (FE) and random effect (RE) models for each of the eight regressions and carried out the Hausman test to select the right model in each case. Table 13 provides the results of the regressions.

Results reported in Table 13 show that all panel regressions except the one on FS are statistically highly significant. Moreover, all dependent variables considered by us are positively related to our independent variable NTRT/GSDP and the level of statistical significance given by the *p*-values is very satisfactory except for FS/GSDP. The coefficient of our independent variable NTRT/GSDP in each of the equations reported in rows indicates the percentage point increase in the respective dependent variable when the independent variable increases by 1.0 percentage point. For instance, when transfers from the center increases by 1 percentage point of the GSDP, it would lead to 0.25 percentage point increase in the revenue expenditures as percentage of GSDP, and so on.

All these results reported in Table 13 for our simple exercise essentially show that the average fiscal behavior of the NSC states in the past 10 years provide some evidence of a mix of desirable and undesirable effects on fiscal discipline and consolidation in response to the proposed increase in the untied transfer of resources from the center. Such transfers can lead to an increase in all types of expenditures and also in OTRs of states. The latter implies that such increased central transfers would be perceived by the tax payers favorably as increased autonomy and discretion for the states and hence their tax compliance can go up. However, the state governments can also treat these enhanced resources as a means to increase expenditures to meet their own priorities—both DE and NDE.

Table 13. Results of the Panel Regressions to Assess the Impact of Increased Transfers

Dependent Variable	Coefficient of NTRT/GSDP	Standard Error	*p*-value	Model (FE/RE)	R^2 (Overall)
TRE/GSDP(Y1)	0.252	0.0729	0.001	FE	0.7054
CO/GSDP(Y2)	0.142	0.0323	0.000	RE	0.3584
TE/GSDP(Y3)	0.376	0.0620	0.000	FE	0.7496
DE/GSDP(Y4)	0.265	0.0963	0.007	FE	0.5415
NDE/GSDP(Y5)	0.140	0.0419	0.001	RE	0.2682
OTR/GSDP(Y6)	0.118	0.0458	0.011	FE	0.1720
RS/GSDP(Y7)	0.278	0.0548	0.000	RE	0.2603
FS/GSDP(Y8)	0.087	0.0506	0.085	RE	0.0151

Source: Computed using data from Tables 2–10.

Note: NTRT/GSDP is the independent variable in all the models. Hausman test was used to choose between fixed effects (FE) and random effects (RE) models.

It is interesting to see that magnitude-wise, the impact on NDE and COs is very similar and the impact on OTR is marginally less. Similarly, the impact on the DE is marginally higher than on the revenue expenditures. Increase in DE and in COs is a desirable impact of enhanced central transfers, but increase in NDE and on total expenditures is not. Similarly, as per our results, the enhanced central transfers by 1.0 percentage points of GSDP are likely to improve the RS of states by about 0.28 percentage points, which is very desirable and can dispel concerns of critics regarding slippage of fiscal targets in the central budget derailing the nation from the path of fiscal consolidation. However, our statistically insignificant results for impact on FS raises doubts about likely overall fiscal profligacy by states in response to enhanced central transfers.

Summary and Conclusion

This article examines the fiscal behavior of the non-special category states that account for 90 per cent of the national income and 92 per cent of national population. The fiscal behavior is examined for recent years because of several important developments during the past decade making a firm impact on the fiscal parameters of the states. Now that the states are given more unconditional or untied resources at their disposal, state budgets are likely to become more important over time for determining the fiscal discipline and prudence in the national economy. The quality and capabilities of fiscal marksmanship is examined with the help of deviations of the RE and AC from the BE over the past three years for which these data are available.

The article also examines time trends over the past 10 years in various important fiscal aggregates, such as, revenue expenditures, COs, total expenditures, DE, NDE, OTRs, TRRs, RS, FS, and total liabilities, of the state governments as percentage of their GSDPs. Committed expenditures as the constraints on the budget making and their magnitudes and trend over the past 10 years are also considered. Finally, panel regressions with fixed and random effects are run to estimate the likely impact of enhanced central transfers on important fiscal aggregates of the state governments.

The finding of the article is that the fiscal behavior of states in general has substantially improved to show more discipline and consolidation during the past 10 years, but there are still problematic states in specific respects. All of them have made efforts to improve but some of them will take more time to achieve satisfactory level of fiscal performance. Fiscal marksmanship in most of the states is far from satisfactory, and it can be a cause of concern when state budgets would assume greater importance. Skills and capacity building at the state level is urgently needed to enhance credibility and transparency of the state budgets.

The likely impact of enhanced central transfers on the fiscal performance and parameters of states is a mix of desirable and undesirable elements. Our panel regression exercise suggests that enhanced central transfers may lead to higher COs, DE, OTRs, and surplus on revenue account for states. Against these desirable impacts, the undesirable effects include likely increase in NDE, revenue expenditures, and total expenditures of the state governments. As a result, the fiscal deficits of the states are not likely to be favorably impacted by the enhanced central transfers. While the qualitative aspects of some fiscal parameters are likely to improve, others may deteriorate if the fiscal behavior of states during the past 10 years is any guide. It remains to be seen how the states would use their discretion and increased autonomy granted by the 14th FC with enhanced untied central resource transfers.

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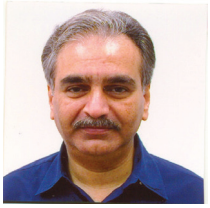
Author's Biography



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